

AS level

Chp:- Inflation

---

How to measure inflation?

RPI / CPI



Zarale

Mushrag

---

---

---

---

---



# Retail price Index / Consumer Price Index

Determines cost of living

Measure of inflation / way to determine rate of inflation  
for e.g. 2015  $\Rightarrow$  10%

Government

Statisticians

$\rightarrow$  survey  $\rightarrow$  households  $\rightarrow$  Basket of goods

Data collection

\* To calculate 'rate',  
apply %  $\Delta$  formula

weights provided

Goods on which frequent consumption is done

comparison

Base year

$\rightarrow$  Stable year, no war situation, less fluctuation  $\Rightarrow$  Base year = 100

cost of living

Rate of inflation

cost of living  $\uparrow$

$\Leftarrow$  +ve (inflation)

$\Rightarrow$  -ve (Deflation) (Negative inflation)

cost of living  $\downarrow$

Higher the weight,  
more is the importance

proportion spent  
from income on a  
commodity

Food weight 5 to 10,  
proportion spent on  
food increases,  
e.g. Developing  
economy

1. Select a base year

This is usually a year in which nothing unusual has occurred. The base year is given a value of 100. The base year is changed regularly.

2. Carry out a survey to find out people's spending patterns.

A sample of households in the population are asked to keep a record of what they buy. The products purchased are placed into categories such as food, clothing etc.

3. Attach weights to the different categories

Weights are based on the proportion of total expenditure spent on the different categories. For instance, if on average households spend \$500 of their expenditure of \$2000 on food, the category will be given a weight of  $\frac{1}{4}$  or 25%.

4. Find out price changes

Price in a range of retail outlets and from a number of other sources such as gas companies and train companies are recorded.

5. Multiply weights by price changes

The total will give the change in the consumer price index

## Retail Price Index / Consumer Price Index

It is an index of prices of goods and services purchased by an average household. Movement in the index shows how the cost of living has changed. Annual increase in the retail price index is actually the rate of inflation in the economy. Thus if RPI went up from 100 to 110 during a year, we would say that the rate of inflation was 10%.

Government statisticians periodically survey a representative group of households which show how consumers spend their incomes. The representative basket of commodities is thus determined comprising of about 700 different commodities. The survey also helps in calculating the proportion of income spent on each good which becomes the weight of that particular good. Weights show the importance of goods in the basket and contribute to retail price index accordingly as a result of a given increase in the prices of goods.

Once weights are chosen, some base year is selected and the prices are given an index of 100 in the base year. The RPI is then calculated by multiplying the index by weights to arrive at the weighted index which are then added together to arrive at RPI. The index of a particular year is then compared with the previous year or base year to find out the rate of inflation in that year.

Uses of RPI:- The index of retail prices is important because of the implication of such changes on the cost of living of people on wages. When the prices of goods and services increase while the money wages remain constant, the purchasing power of money will fall i.e. people will be able to buy lesser amount of goods and services with the same amount of money. An increase in the prices therefore is likely to be followed by demands for higher wages and salaries.

RPI is of great importance to many workers and their unions since an increase in RPI is frequently felt to provide a justification for the demand for higher wages because workers and their unions are concerned with real wages (wages adjusted with inflation), not just money wages.

The RPI is of great academic interest because it enables us to know about the changes in the standard of living of people in an economy.

RPI is also useful for the government because it helps in the formulation of some of the policies e.g. the rise in the wage rate required to compensate the labours, changes in the rate of interest or the money supply required to reduce the rate of inflation to some target level and so on.

Savers also like to know what will be the future value of their savings because high inflation erodes away purchasing power of money and savings will be discouraged.

## Difficulties of measuring changes in price level

The base year, in some cases it can be difficult to select a base year. For instance, if a year is selected in which it is later found that inflation was unusually high, it may give the impression that subsequent percentage changes in the price level were unusually low.

The survey, there are a number of problems involved carrying out a survey of people's spending patterns. The two key problems are whether the people selected to keep details of their expenditure are representative of the whole population and whether they complete the survey accurately. For instance there may be higher proportion of vegetarians who complete the survey than in the whole population. In this case, the weight given to vegetables will be disproportionately high. Of course, even if the survey is representative, it does not mean that the inflation rate represents the price changes that each person experiences. Different groups have different spending patterns and so effectively different inflation rates.

The people who complete the survey may make mistakes in recording their spending or may deliberately leave items out.

One item thought to be often under-recorded is spending on chocolate. This may be because people don't want other members of their family to know how much they are spending on a non-essential product or because they are claiming that they are trying to lose weight.

## Questions

Marks:- 16

Q1 Explain the process of Retail price / consumer price index ? 10

Q2 Explain the use of RPI / CPI ? 10

Q3 Explain the difficulties of measuring changes in price level ? 10